Economist Letter

Japan's Economic Outlook for Fiscal Years 2025–2027 (February 2026)

Taro Saito, Executive Research Fellow, Economic Research Department,
tsaito@nli-research.co.jp

<Real GDP growth: 0.8% in FY 2025, 1.0% in FY 2026, and 1.3% in FY 2027>

1. In the October–December quarter of 2025, real GDP increased at an annualized rate of 0.2% from the previous quarter, as private consumption, private residential investment, and capital investment rose. However, growth remained modest following the annualized decline of 2.6% in the July–September quarter.
2. For the 2025 calendar year, real GDP grew by 1.1% compared to the previous year (2024: −0.2%), marking the first positive growth in 2 years and exceeding the potential growth rate, which is estimated to be in the mid-0% range. However, this was largely attributable to a rebound from the negative growth recorded in 2024. Thus, it cannot be said that the Japanese economy recovered strongly in 2025. By demand component, private consumption increased by 1.4% compared to the previous year (2024: −0.6%), representing relatively high growth; however, it remained below the pre-COVID-19 pandemic period (2019) level, indicating that a full-fledged recovery in consumption remains distant.
3. Real GDP growth is projected at 0.8% in FY 2025, 1.0% in FY 2026, and 1.3% in FY 2027. Since the start of 2026, as the effects of tariff hikes diminish and exports recover, domestic demand—led by private consumption and capital investment—is expected to increase, with growth continuing at an annual rate in the 1% range.
4. Consumer prices (excluding fresh food) are projected to increase by 2.7% in FY 2025, 1.9% in FY 2026, and 2.1% in FY 2027. Since the start of 2026, the rate of increase is expected to temporarily fall below 2%, reflecting the abolition of the provisional gasoline tax rate and overlap with electricity and city gas support measures. However, it is projected to return to the 2% range in 2027, primarily due to an acceleration in service price increases driven by the continued high level of wage hikes.

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1. The October–December quarter of 2025 posted 0.2% annualized growth from the previous quarter

Real GDP in the October–December quarter of 2025 increased by 0.1% from the previous quarter (0.2% on an annualized basis), marking the first positive growth in two quarters. However, it fell short of the market consensus forecast (QUICK survey: 1.7% on an annualized basis from the previous quarter).

Private demand increased by 0.1% from the previous quarter, posting a marginal second-quarter increase. While the change in private inventories made a negative contribution of −0.2 percentage points from the previous quarter, private consumption (up 0.1% from the previous quarter) and capital investment (up 0.2%) increased. Private residential investment rose sharply (up 4.8% from the previous quarter) as the backlash from last-minute demand ahead of revisions to the Act on the Improvement of Energy Consumption Performance of Buildings and the Building Standards Act ran its course. Public demand declined by 0.2% from the previous quarter for the second consecutive quarter, as government consumption rose by 0.1%, but public investment fell by 1.3%. As a result, domestic demand was flat at 0.0% from the previous quarter.

Since the contribution of external demand was 0.0 percentage points from the previous quarter (0.1% on an annualized basis), it was essentially neutral for growth. Exports of goods and services fell by 0.3% from the previous quarter, while imports of goods and services also declined by 0.3%. Exports edged down for both goods (down 0.2% from the previous quarter) and services (down 0.4%). Although goods exports to Europe and the U.S. remained strong, this was offset by a decline in exports to China. Notably, service exports were weighed down by a decline in the number of Chinese visitors to Japan amid deterioration in Japan–China relations.

As a result, real GDP for calendar year 2025 grew by 1.1% compared to the previous year (2024: −0.2%), marking the first positive growth in 2 years, while nominal GDP grew by 4.5% compared to the previous year (2024: 3.0%), posting positive growth for the fifth consecutive year.

Furthermore, real GDP growth for calendar year 2025 exceeded the potential growth rate, which is estimated to be in the mid-0% range; however, this largely reflected a rebound from the negative growth recorded in 2024. Thus, it cannot be said that the Japanese economy recovered strongly in 2025. By demand component, private consumption rose by 1.4% compared to the previous year (2024: −0.6%), representing relatively high growth; however, it remained below the pre-COVID-19 pandemic period (2019) level, indicating that a full-fledged recovery in consumption remains distant.

Negative effects of the Trump tariffs are weaker than expected

In April 2025, when the U.S. decided to sharply raise tariff rates on countries worldwide, there were concerns that a sharp contraction in global trade would plunge the world into a synchronized recession.

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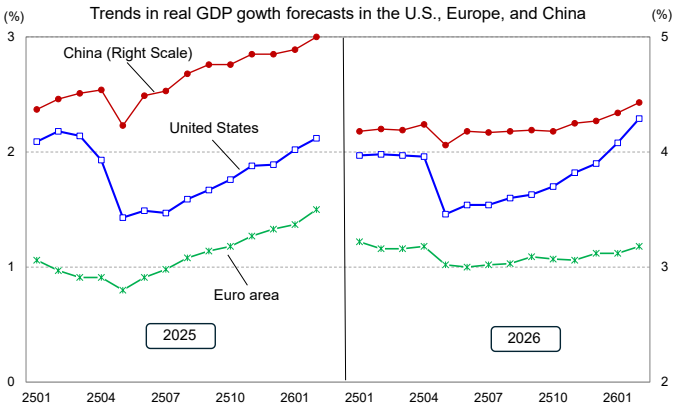
According to the "ESP Forecast Survey" by the Japan Center for Economic Research, the forecast for U.S. real GDP growth in 2025 fell sharply from the low-2% range to the low-1% range after the Trump tariffs were implemented. However, as it has gradually become clear that the impact of the tariff hikes is weaker than initially expected, the forecast has been revised upward step by step. The actual outcome for 2025 is expected to be around 2%, while the forecast for 2026 has also been revised upward from the mid-1% range (immediately after the tariff hikes) to the low-2% range.



Note: Average of the Japan Economic Research Center's ESP Forecast Survey.

For the euro area and China, real GDP growth forecasts were sharply revised down after April 2025 but have since been revised upward; the actual outcome for 2025 is expected to be 1.5% for the euro area and 5.0% for China, both exceeding the pre-tariff-hike forecasts.

Looking ahead at overseas economies—which will influence Japan's exports—U.S. real GDP growth is expected to rise from 2.2% in 2025 (estimated) to 2.5% in 2026. This would exceed the potential growth rate, which is considered to be in the low-2% range, supported by the effects of tax cuts and an expansion of artificial intelligence-related investment, before slowing to 2.0% in 2027. In the euro area, fiscal expansion measures related to defense and infrastructure will underpin the economy, and front-loaded exports ahead of U.S. tariff hikes will also provide support. Notably, real GDP growth in 2025 is expected to increase to 1.5% from 0.9% in 2024. In 2026 (1.0%) and 2027 (1.2%), growth is projected to be roughly in line with the potential growth rate. In China, real GDP growth in 2025 is expected to remain at 5.0%—the same level as in 2024—supported by economic measures. However, growth is likely to continue decelerating to 4.2% in 2026 and 3.6% in 2027 due to backlash from those measures and the continuing property market downturn.

Thus, while the impact of the Trump tariffs is weaker than initially assumed, a clear acceleration in growth is not expected in the U.S., Europe, or China. Overall, we assume that overseas economic growth will remain moderate through 2027, which is the forecast horizon for this outlook.

Japan's exports are projected to increase by 2.0% in FY 2025, 1.7% in FY 2026, and 2.3% in FY 2027, with growth remaining subdued. Notably, exports are unlikely to serve as a key driver of the economy during this period.

Prime Minister Takaichi is considering a zero consumption tax rate on food

Prime Minister Takaichi stated that, regarding the Liberal Democratic Party's campaign pledge in the House of Representatives election to "consider exempting food and beverages from the consumption tax for a limited period of 2 years." She noted that she would like to examine certain issues (e.g., the schedule and

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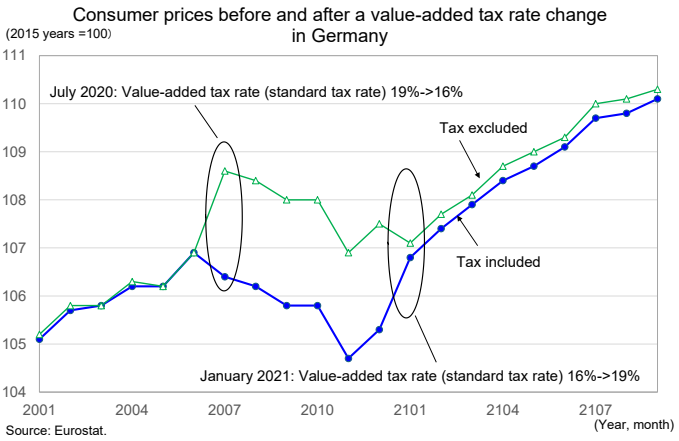
funding sources) and produce an interim summary before early summer at the "National Council for Consumption Tax Review."

Setting the consumption tax rate on food to zero would reduce households' burden by approximately 5 trillion yen per year. This is expected to result in lower prices and an uplift in private consumption and real GDP. According to the NLI Research Institute's macro model, if the consumption tax rate on food is set to zero, consumer prices would fall by 1.64%, while private consumption and real GDP would increase by 0.85% and 0.55%, respectively.

However, these estimates assume that the full amount of the consumption tax rate cut (8%) is reflected in price reductions. When Japan's consumption tax rate was raised in the past, pass-through to prices was nearly 100%; however, this does not necessarily apply when the tax rate is lowered. Furthermore, previous consumption tax hikes were typically implemented during deflationary periods, whereas this time the tax cut would occur in an environment of entrenched inflation, where price increases have become routine. As such, it is unlikely that firms would reduce prices by the full 8%.

In Germany, for example, where the VAT rate was lowered during the COVID-19 crisis, the pre-tax price was raised so that the tax-inclusive price did not fall by as much as the tax rate cut.

Notably, unlike permanent income, temporary income resulting from a 2-year, time-limited measure has a higher propensity to be saved. For temporary income (e.g., local premium vouchers or past special fixed benefits), the share allocated to consumption is estimated to be approximately 20–30%. If we assume a pass-through rate of 70% and that approximately 30% of the increase in real income from lower prices is spent on consumption, consumer prices would fall by 1.15%, private consumption would be pushed up by 0.34%, and real GDP would increase by 0.22%, making the impact considerably smaller.



There is also the question of whether the consumption tax rate can be restored after 2 years. Subsidy policies for gasoline, kerosene, electricity, and gas illustrate how difficult it is to end burden-relief measures. If the consumption tax rate is raised after 2 years, prices would rise, and private consumption and real GDP would decline—the reverse of what occurs when the rate is lowered. If the pass-through rate is 100%, as in previous consumption tax rate hikes, the impact could exceed that of introducing a zero consumption tax rate on food.

This economic outlook is prepared without assuming a zero consumption tax rate on food.

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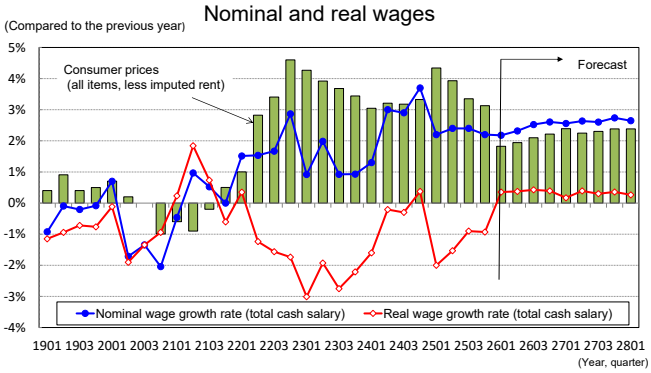
2026 spring wage negotiations are expected to produce wage hikes in the 5% range for the third consecutive year

Although real wages—calculated by deflating nominal wages by consumer prices (excluding imputed rent for owner-occupied housing)—have remained negative, the decline narrowed to −0.1% compared to the previous year in December2025. This was mainly because, while nominal wages continued to grow in the 2% range, the rate of increase in consumer prices (excluding imputed rent for owner-occupied housing) shrank significantly from 3.3% compared to the previous year in November to 2.4% in December.

Since the rate of increase in consumer prices is expected to fall below 2% after the start of 2026, when support measures for electricity and city gas bills will be implemented, real wage growth is highly likely to turn positive in the January–March quarter of 2026.



Note: Real wages = Nominal wages/consumer prices (all items, less imputed rent).

Source: "Monthly Labour Survey(business establishment size of 5 or more)," Ministry of Health, Labour and Welfare.

In terms of the environment surrounding the 2026 spring wage negotiations, the active job openings-to-applicants ratio is on a declining trend but remains above 1, while the unemployment rate is hovering in the mid-2% range, indicating that labor market conditions remain tight. The rate of increase in consumer prices (headline) in 2025 was 3.2%, exceeding 2.7% in 2024. Corporate profits have softened somewhat in manufacturing due to the impact of the Trump tariffs; however, they have reached a new record high on an all-industry basis.

Major industry unions—e.g., the Confederation of Japan Automobile Workers' Unions, JEIU, JAM (machinery and metals), and JBU (steel, shipbuilding, nonferrous metals, construction, etc.)—have successively set out wage-hike demands that are in line with or higher than the previous year. Moreover, management has also shown a positive stance toward wage hikes. Based on these conditions, this outlook assumes that wage hikes in the 2026 spring wage negotiations will be 5.40%, slightly below the previous year but maintaining a high level in the 5% range for the third consecutive year (5.40% is also projected for 2027).

2. Real GDP growth is projected at 0.8% in FY 2025, 1.0% in FY 2026, and 1.3% in FY 2027

Domestic demand-led growth will continue

In the October–December quarter of 2025, private demand—i.e., private consumption, private residential investment, and capital investment—increased, resulting in positive growth of 0.2% on an annualized basis in two quarters. However, growth remained extremely low following the annualized decline of 2.6% in the July–September quarter.

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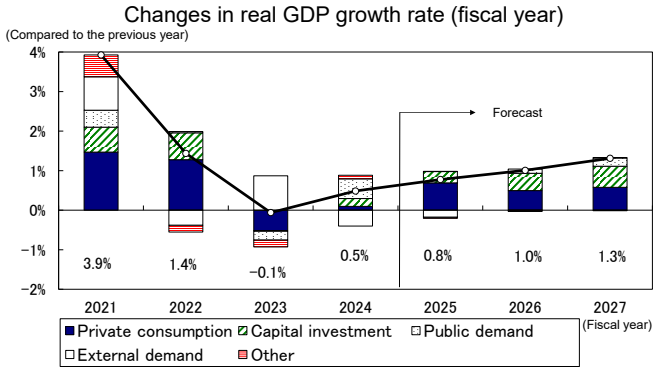
After the start of 2026, as the effects of tariff hikes diminish and exports recover, domestic demand—led by private consumption and capital investment—is expected to increase, with growth continuing at an annual rate in the 1% range, which exceeds the potential growth rate.

Real GDP growth is projected at 0.8% in FY 2025, 1.0% in FY 2026, and 1.3% in FY 2027. By demand component, domestic demand is expected to continue increasing from FY 2025 onward, following its return to growth in FY 2024 for the first time in 2 years. Meanwhile, the contribution of external demand, which turned negative in FY 2024 at -0.4 percentage points compared to the previous year, is expected to remain slightly negative from FY 2025 onward. Although the impact of the Trump tariffs will diminish, overseas economic growth is expected to remain moderate. Moreover, with the yen appreciating, goods exports are likely to record subdued growth throughout the forecast period. Additionally, due to the deterioration in Japan–China relations, a decline in the number of Chinese visitors to Japan will weigh on service exports for the time being. Thus, exports are unlikely to serve as a key driver of the economy going forward.

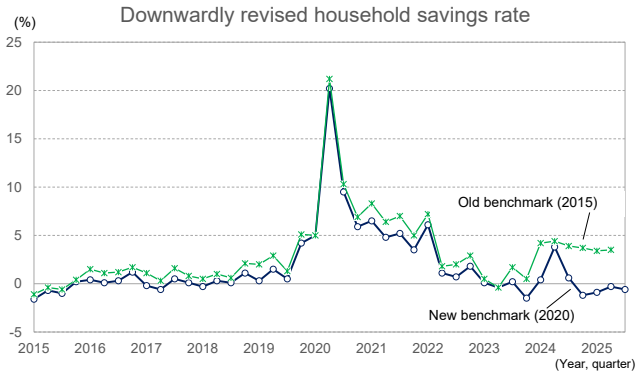


Source: "Quarterly Estimates of GDP," Economic and Social Research Institute, Cabinet Office.

Household saving rate turns negative

In December 2025, the National Accounts of Japan (GDP statistics) underwent its benchmark revision, conducted every 5 years (from the 2015 base to the 2020 base). Under the old base (2015), the household saving rate had been hovering around 3–4% from 2024 onward; however, it was sharply revised downward following the benchmark revision.

In the " Quarterly Estimates of Household Disposable Income and Household Saving Ratio (Reference series)" released by the Cabinet Office in January 2026, it was revealed that the household saving rate had been negative for four consecutive quarters since the October–December quarter of 2024. The benchmark revision revised up household consumption while revising down disposable income, which led to a downward revision in savings.



Source: "Preliminary Report on Household Disposable Income and Household Savings Ratio by Quarter (Reference Series)," Cabinet Office.

Under the old base, real household disposable income at the start of 2025 was roughly at the same level as the pre-COVID-19 pandemic period (2019 average). However, under the new base, the latest data (the July–September quarter of 2025) indicate that real disposable income is 7.9 trillion yen below the pre-COVID-19

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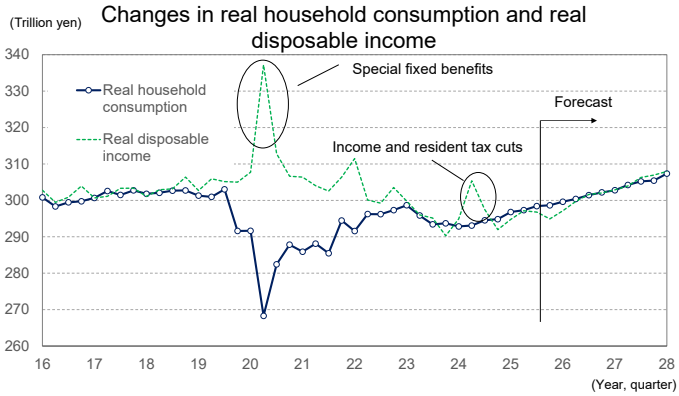
pandemic period. Although nominal compensation of employees has been increasing steadily, this has been offset by higher prices and an increase in the tax burden.

A positive development is that property income has increased sharply in recent periods. Household property income had remained sluggish amid a prolonged period of ultra-low interest rates, but it has risen markedly, mainly due to increased dividends backed by strong corporate performance, thereby pushing up disposable income. Looking ahead, an increase in interest income associated with rising interest rates can also be expected. Additionally, while the compensation of employees had continued to decline in real terms as price increases offset strong nominal growth, it turned positive compared to the previous year in the April–June quarter of 2024 for the first time in 10 quarters, and has increased for seven consecutive quarters.

Regarding the relationship between real household consumption and real disposable income, when the special fixed benefits of 100,000 yen per person were paid during the COVID-19 crisis, severe restrictions on activity led to a sharp rise in the saving rate, causing the two to diverge significantly. When income and resident tax cuts were implemented in 2024, the increase in disposable income also contributed little to boosting consumption. However, excluding these temporary factors, the two series have largely moved in tandem.

Looking ahead, real disposable income is expected to remain firm, supported by growth in the real compensation of employees driven by strong nominal wage growth, a slowdown in inflation, an increase in property income (e.g., interest and dividends), and a reduction in the tax burden due to an increase in the taxable income threshold.

Private consumption is expected to increase, backed by rising real disposable income. After accelerating from 0.2% compared to the previous year in FY 2024 to 1.3% in FY 2025, it is projected to rise by 1.0% in FY 2026 and 1.1% in FY 2027.



Source: "Quarterly Estimates of GDP" and "Household Disposable Income and Household Savings Rate Quarterly Bulletin (Reference Series)," Cabinet Office.

Capital investment will remain firm

Capital investment in the October–December quarter of 2025 increased by 0.2% from the previous quarter, marking the first increase in two quarters. With corporate profits at high levels, capital investment has remained on a recovery trend, centered on labor-saving investment to address labor shortages, IT-related investment for digitalization, and construction investment associated with e-commerce expansion. However, because the capital investment deflator has recorded strong growth due to soaring material prices and higher construction costs, real growth has been restrained.

In the Bank of Japan's Short-Term Economic Survey of Enterprises (December 2025), the planned level of current profits for FY 2025 showed a decline of 2.7% from the previous fiscal year. Since the planned level

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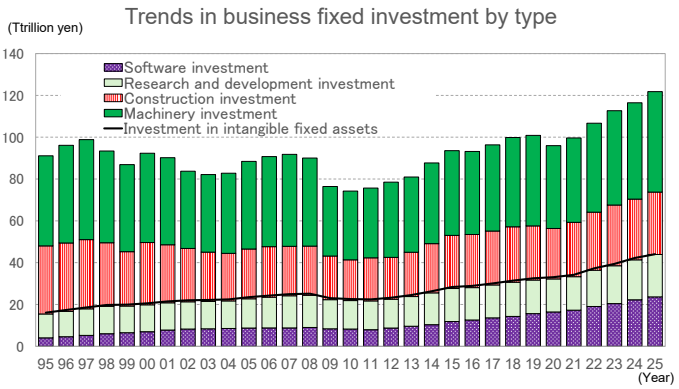
of current profits as of December also indicated a decline for FY 2024, there is no reason to be overly pessimistic. However, profit plans are weaker than usual in manufacturing, which is more susceptible to the adverse effects of the Trump tariffs, including a sharp planned decline of 28.1% in the auto sector.

As a result, manufacturers may become more cautious in their investment behavior. However, increases in software investment and R&D investment—which are less affected by short-term profit conditions—are expected to support capital investment.

By type, the growth of intangible fixed asset investment—e.g., software investment and R&D investment—has been relatively strong, and the share of intangible fixed asset investment in total capital investment has risen from 17.8% in 1994 to 35.9% in 2024. Software investment and R&D investment have faster depreciation than tangible fixed assets and tend to increase the consumption of fixed capital. As a result, net investment—i.e., capital investment excluding the consumption of fixed capital—has recently been hovering around zero. A rising share of intangible fixed asset investment contributes to a steady increase in capital investment, which is also a factor that makes stock adjustment pressures less likely to build.

Capital investment is projected to gradually accelerate from 0.8% compared to the prev ious year in FY 2024 to 1.6% in FY 2025, 2.4% in FY 2026, and 2.9% in FY 2027.



Note: Annual estimates for 1995–2024, and preliminary estimates for the July–September 2025 period.
Source: "Quarterly Estimates of GDP," Economic and Social Research Institute, Cabinet Office.

Price outlook

Consumer prices (excluding fresh food; hereafter "core CPI") had been rising at approximately 3%. However, the rate of increase fell to 2.4% in December 2025, down 0.6 percentage points from the previous month, as food inflation slowed and energy prices began to decline.

Food (excluding fresh food) slowed for the fifth consecutive month, falling from a peak of 8.3% compared to the previous year in July 2025, reaching 6.7% in December. According to Teikoku Databank's "Price Trend Survey of Major Food Companies (195 firms)," the number of food and beverage items with price increases in 2025 was 20,609, far exceeding the 12,520 recorded in 2024. Meanwhile, the number of items expected to see price increases over the next 3 months peaked around early 2025 and has since leveled off, reflecting an easing in the rise of raw material costs. Notably, it has recently been slightly lower than a year earlier. The rate of increase in food prices (excluding fresh food) is highly likely to remain slow.

The provisional gasoline tax rate was abolished at the end of December 2025. After the retail gasoline price (regular) fell from approximately 170 yen per liter in early November to approximately 150 yen by mid-December, it has hovered near 155 yen since the start of 2026.

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Support measures for electricity and city gas bills have been implemented intermittently since January 2023 (for usage in January 2023–May 2024, August–October 2024, January–March 2025, and July–September 2025). For usage in January–March 2026 (reflected in the consumer price Index from February to April 2026), support will be provided with larger subsidy amounts than a year earlier. Energy prices in the CPI were down by 3.1% compared to the previous year as of December 2025. However, the negative rate is expected to widen to nearly −10% toward the end of FY 2025, while its contribution to the core CPI inflation rate is projected to be just under −1 percentage point.

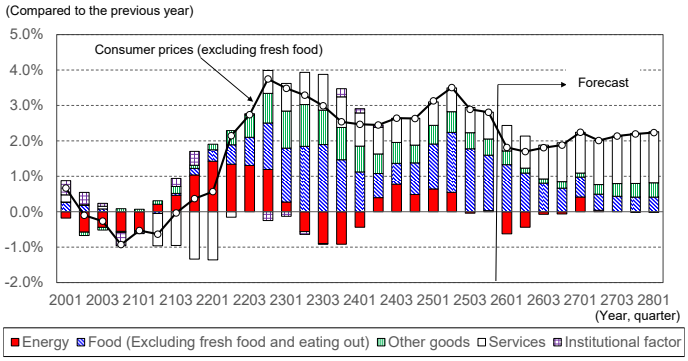
Service prices have continued to rise in the low-2% range since the second half of 2023; however, after entering FY 2024, growth has slowed to the mid-1% range. By component, rents have been the main factor pushing down service prices. Services, excluding rents, have slowed from a peak in the high-3% range compared to the previous year (near the end of 2023) but have maintained growth of around 2%.

Labor costs, which have a major impact on service price trends, are expected to continue increasing on the back of high wage hikes. With ongoing moves to pass through labor and logistics costs to prices, the pace of service price increases is likely to accelerate again.

Core CPI inflation is likely to slow from 2.4% in December 2025 to approximately 2% in January 2026. In February 2026—when support measures for electricity and city gas bills are resumed—it will likely fall below 2% for the first time since March 2022 (i.e., in 3 years and 11 months). It is expected to remain in the high-1% range during 2026. After the start of 2027, it is likely to return to the 2% range, as the pace of service price increases—driven by continued high wage hikes—will likely outweigh the slowdown in goods price inflation associated with yen appreciation.

Core CPI is projected at 2.7% compared to the previous year in FY 2025 (following 2.7% in FY 2024), and at 1.9% in FY 2026 and 2.1% in FY 2027. Core-core CPI (excluding fresh food and energy) is projected at 3.0% in FY 2025, up from 2.3% in FY 2024, and at 2.1% in FY 2026 and 2.3% in FY 2027.

Forecast of consumer prices (excluding fresh food)



Note: Factors influencing the system include consumption tax, free education, the Go To Travel campaign, and nationwide travel support.
Source: "Consumer Price Index," Statistics Bureau, Ministry of Internal Affairs and Communications.

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Outlook for the Japanese economy

(Units,%)

	FY 2024 Actual	FY 2025 Forecast	FY 2026 Forecast	FY 2027 Forecast	25/4-6 Actual	25/7-9 Actual	25/10-12 Actual	26/1-3 Forecast	26/4-6 Forecast	26/7-9 Forecast	26/10-12 Forecast	27/1-3 Forecast	27/4-6 Forecast	27/7-9 Forecast	27/10-12 Forecast	28/1-3 Forecast
Real GDP	0.5	0.8	1.0	1.3	0.5	- 0.7	0.1	0.4	0.3	0.4	0.3	0.3	0.3	0.4	0.4	0.3
					2.1	- 2.6	0.2	1.7	1.1	1.5	1.3	1.2	1.3	1.4	1.4	1.1
					2.0	0.6	0.1	0.5	0.2	1.1	1.3	1.3	1.3	1.3	1.3	1.4
Contribution to domestic demand	(0.8)	(1.0)	(1.0)	(1.3)	(0.4)	(- 0.4)	(0.0)	(0.5)	(0.2)	(0.3)	(0.4)	(0.3)	(0.3)	(0.4)	(0.4)	(0.3)
Private demand	(0.4)	(0.9)	(0.9)	(1.1)	(0.3)	(- 0.3)	(0.1)	(0.4)	(0.2)	(0.2)	(0.3)	(0.2)	(0.3)	(0.3)	(0.3)	(0.2)
Public demand	(0.5)	(0.0)	(0.1)	(0.2)	(0.1)	(- 0.0)	(- 0.0)	(0.0)	(0.0)	(0.1)	(0.0)	(0.1)	(0.0)	(0.1)	(0.1)	(0.1)
Contribution to external demand	(- 0.4)	(- 0.2)	(- 0.0)	(- 0.0)	(0.1)	(- 0.3)	(0.0)	(- 0.0)	(0.0)	(0.1)	(- 0.0)	(- 0.0)	(0.0)	(0.0)	(- 0.0)	(- 0.0)
Private final consumption expenditure	0.2	1.3	1.0	1.1	0.2	0.4	0.1	0.3	0.2	0.2	0.3	0.2	0.3	0.3	0.3	0.2
Private residential investment	- 0.7	- 3.5	- 0.8	- 0.1	0.0	- 8.4	4.8	1.1	- 1.2	- 0.7	0.5	- 1.1	- 0.1	0.7	0.6	- 0.5
Private nonresidential investment	0.8	1.6	2.4	2.9	1.3	- 0.3	0.2	0.7	0.6	0.8	0.9	0.8	0.6	0.6	0.8	0.7
Government final consumption expenditure	2.3	0.5	0.6	0.8	0.5	0.1	0.1	0.1	0.1	0.2	0.2	0.2	0.2	0.2	0.3	0.1
Public investment	0.1	- 1.9	- 0.5	0.9	0.0	- 1.5	- 1.3	0.0	0.1	0.2	0.0	0.6	- 0.1	0.3	0.2	0.8
Exports of goods & services	1.6	2.0	1.7	2.3	1.9	- 1.4	- 0.3	0.3	0.9	0.9	0.5	0.6	0.5	0.6	0.6	0.4
Import of goods & services	3.2	2.9	1.8	2.5	1.4	- 0.1	- 0.3	0.5	0.7	0.5	0.7	0.7	0.5	0.6	0.9	0.5
Nominal GDP	3.7	4.0	2.9	3.1	2.1	- 0.0	0.6	0.5	0.9	1.0	0.8	0.6	0.6	0.9	0.9	0.7

Note: The upper row of Real GDP is from the previous quarter, the middle row is on an annualized basis, and the lower row is compared to the previous year. All other demand items are from the previous quarter.

< Main Accounting Indicators >

(Units,%)

	FY 2024	FY 2025	FY 2026	FY 2027	25/4-6	25/7-9	25/10-12	26/1-3	26/4-6	26/7-9	26/10-12	27/1-3	27/4-6	27/7-9	27/10-12	28/1-3
Industrial production (QoQ)	- 1.4	0.9	1.2	1.1	0.4	0.1	0.8	0.1	0.3	0.2	0.2	0.2	0.4	0.3	0.3	0.3
Domestic corporate goods prices (YoY)	3.3	2.6	2.0	0.9	3.3	2.6	2.6	2.1	2.1	2.4	1.8	1.6	1.1	0.8	0.8	0.8
Consumer prices (YoY)	3.0	2.6	1.9	2.1	3.4	2.9	2.7	1.4	1.6	1.8	1.9	2.2	2.0	2.1	2.2	2.2
Consumer prices (excluding fresh food)	2.7	2.7	1.9	2.1	3.5	2.9	2.8	1.8	1.7	1.8	1.9	2.2	2.0	2.1	2.2	2.2
Current account balance (¥trillion)	29.5	31.4	32.0	30.2	28.7	33.3	33.2	30.3	31.6	31.2	33.7	31.6	31.0	29.2	31.2	29.5
(Ratio to nominal GDP)	(4.6)	(4.7)	(4.7)	(4.3)	(4.3)	(5.0)	(5.0)	(4.5)	(4.7)	(4.6)	(4.9)	(4.5)	(4.4)	(4.1)	(4.4)	(4.1)
Unemployment rate (%)	2.5	2.6	2.6	2.5	2.5	2.5	2.6	2.6	2.6	2.6	2.6	2.5	2.5	2.5	2.5	2.4
Housing starts (10 thousand)	81.6	71.5	76.9	77.2	60.1	71.7	76.4	77.9	77.1	76.7	77.3	76.6	76.7	77.4	77.6	77.0
Call rate (target rate)	0.50	0.75	1.00	1.25	0.50	0.50	0.75	0.75	0.75	1.00	1.00	1.00	1.25	1.25	1.25	1.25
10-year government bond rate	1.0	1.8	2.3	2.5	1.4	1.6	1.8	2.2	2.2	2.3	2.4	2.4	2.4	2.4	2.5	2.5
USD/JPY	152	151	152	146	145	147	154	156	155	153	151	150	148	147	146	144
Crude oil price (CIF, Dollar/Barrel)	83	72	68	68	76	72	71	68	68	68	68	68	68	68	68	68
Ordinary profit (YoY)	7.2	5.3	4.3	5.8	0.2	19.7	2.2	3.3	2.8	2.9	5.0	6.8	6.0	5.1	5.1	7.1

Note: 10 year JGB yield, foreign exchange and oil prices were averages during the period. Call rates are uncollateralized overnight rates at the end of the period (upper limit if range). 25/10-12 Ordinary Income is Projected

Sources: "Quarterly Estimates of GDP," Economic and Social Research Institute, Cabinet Office; "Indices of Industrial Production," Ministry of Economy, Trade and Industry; "Consumer Price Index," Ministry of Internal Affairs and Communications; "Financial Statements Statistics of Corporations by Industry, Quarterly," Ministry of Finance and others.

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Outlook for the U.S. economy

		2024	2025	2026	2027	2025				2026				2027			
						1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12
		Actual	Forecast	Forecast	Forecast	Actual	Actual	Actual	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
Real GDP	Annual rate,% QoQ	2.8	2.2	2.5	2.0	- 0.6	3.8	4.4	2.4	2.2	1.8	2.0	2.2	1.9	2.0	1.9	1.9
FF rate target	End of period, Upper,%	4.50	3.75	3.25	3.00	4.50	4.50	4.25	3.75	3.75	3.50	3.50	3.25	3.25	3.00	3.00	3.00
10 year JGB interest rate	Average,%	4.3	4.3	4.2	3.9	4.4	4.4	4.2	4.1	4.2	4.2	4.1	4.1	3.9	3.9	3.9	3.9

Outlook for the European (Euro area) economy

		2024	2025	2026	2027	2025				2026				2027			
						1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12	1-3	4-6	7-9	10-12
		Actual	Actual	Forecast	Forecast	Actual	Actual	Actual	Revised	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
Real GDP	Annual rate,% QoQ	0.9	1.5	1.0	1.2	2.3	0.6	1.1	1.4	0.5	1.3	1.2	1.2	1.2	1.2	1.2	1.2
Deposit facility rate	End of period,%	3.00	2.00	2.00	2.00	2.50	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
German 10 year government bond rate	Average,%	2.3	2.6	2.6	2.4	2.5	2.5	2.7	2.7	2.8	2.6	2.5	2.4	2.4	2.4	2.4	2.4
Exchange rate against the dollar	Average, Dollars	1.09	1.13	1.19	1.21	1.05	1.13	1.17	1.16	1.18	1.19	1.19	1.20	1.20	1.21	1.21	1.22

Please note: The data contained in this report has been obtained and processed from various sources, and its accuracy or safety cannot be guaranteed. The purpose of this publication is to provide information, and the opinions and forecasts contained herein do not solicit the conclusion or termination of any contract.

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